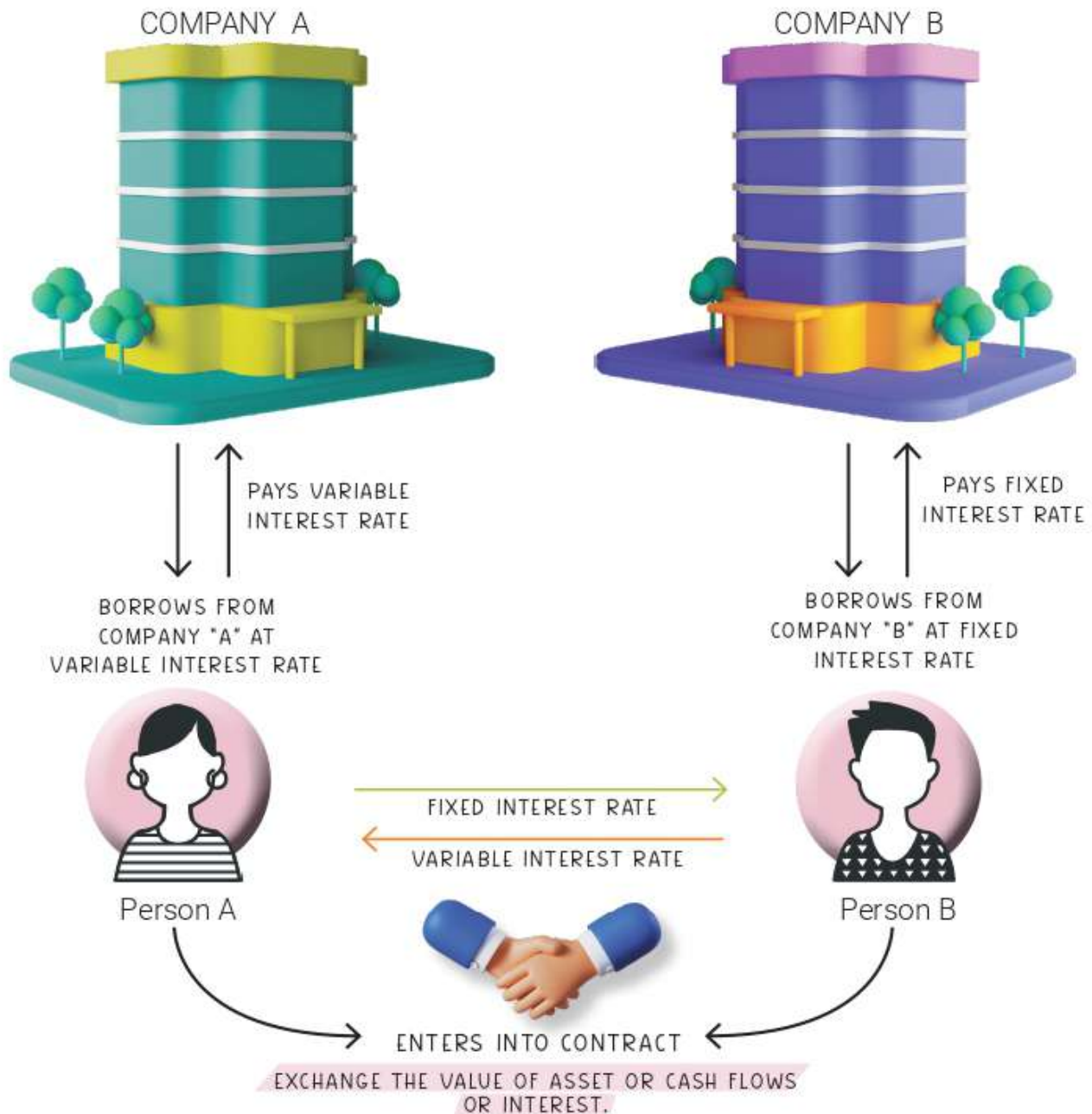


SWAPS

Swaps contracts are one of the most complex ones. These are, to a great degree, used by - large corporations and financial institutions. Swaps are when two parties exchange their liabilities on agreed terms and then the change in value of the liability is their profit or loss.



Explainer Video



Here for example, person B had to pay Fixed Interest rate to Company B. However, after the swap they have to pay Variable Interest Rate. Now imagine if the interest rate in the economy goes down. Without the swap they would still be paying a fixed rate but after the swap they would have to pay a reduced rate of interest. The vice versa is true with if the interest rate goes up as well. In that case person B would incur losses due to the Swap arrangement. This is how Swaps work on interest rates. Swaps are traded over the counters and not over the Exchanges i.e. not over BSE and NSE. They are **customized** - per the unique requirements of the parties involved in the contract.